



Stock Note

United Spirits Ltd.

May 06, 2024



Industry	LTP	Recommendation	Base Case Fair Value	Bull Case Fair Value	Time Horizon
Alcobev	Rs. 1208	Buy in Rs 1190-1210 band and add on dips in Rs 1060-1080 band	Rs 1319	Rs 1386	2-3 quarters

HDFC Scrip Code	MCDLTDEQNR
BSE Code	532432
NSE Code	MCDOWELL-N
Bloomberg	UNSP:IN
CMP May 03, 2024	1208
Equity Capital (Rs Cr)	145.5
Face Value (Rs)	2.0
Equity Share O/S (Cr)	72.7
Market Cap (Rs Cr)	87,645
Book Value (Rs)	93.6
Avg. 52 Wk Volumes	959294
52 Week High	1219
52 Week Low	771

Share holding Pattern % (Mar, 2024)	
Promoters	56.7
Institutions	29.0
Non Institutions	14.3
Total	100.0



* Refer at the end for explanation on Risk Ratings

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Our Take:

United Spirits Limited (UNSP) is one of the largest alcobev companies in India, involved in the manufacture, sale and distribution of beverage alcohol through its bouquet of local and global brands. The company is a subsidiary of Diageo Plc., one of the leading alcobev companies globally with an outstanding collection of premium brands. UNSP houses 63 brands under its umbrella, 8 of which sell more than a million cases a year, with one brand selling more than 25 million cases annually.

UNSP's classifies its brands broadly under the **Popular** and **Prestige & Above (P&A)** segments and P&A can be further classified into luxury, premium and upper prestige categories. The company's moat lies in its well curated portfolio of legacy and innovative brands with a presence across different price points, catering to both aspiring and affluent consumers. UNSP's portfolio of world class brands include Johnnie Walker, Black Dog, Black & White, Vat 69, Antiquity, Signature, Singelton, Royal Challenge, McDowell's No 1, Smirnoff, Ketel One, Tanqueray and Captain Morgan, among others.

UNSP produced and sold 72 million cases in FY23 through its pan-India presence with approximately 40 manufacturing facilities and robust distribution network of more than 70,000 outlets. UNSP also holds perpetual right to the Royal Challengers Bangalore (RCB) cricket franchise of Indian Premier League (IPL) and has also acquired franchise rights for the Women's Premier League (WPL) in January 2023. UNSP generated Rs 309 cr in brand agreements and franchising revenue from these two teams in FY23.

The Indian alcobev industry is expected to post robust growth in upcoming years given the low per capita alcohol consumption and growing aspirations of the relatively younger population. Rapid urbanization, rising per capita income, increase in discretionary spending and preference towards out of home experiential consumption of alcohol have led to increased consumption of high quality premium alcohol in India, post the COVID-19 pandemic. Within the spirits industry, Indian Made Foreign Liquor (IMFL) and Indian Made Indian Liquor (IMIL), together boast a dominating share of more than 69%, in terms of alcohol consumption in India. This bodes well for the company as it is a leader in both these categories.

India is in the last leg of negotiations to sign a full-fledged free-trade agreement (FTA) with UK, which among other things will allow scotch whisky imports in barrels and bottles and also positively impact liquor exports from India to the UK.

India is one of the most attractive/fastest growing alcohol markets in the world and is the third largest market in the world after China and the US by volume. The Indian market is dominated by whisky followed by beer and wine. The premium end of the Indian spirits market is largely dominated by the top two global companies: Diageo and Pernod Ricard and United Spirits(UNSP) is a leader in IMFL.

Valuation & Recommendation:

Over the last few years, the company has rigorously focused on re-shaping its portfolio, with an aim to accelerate sales in the luxury, premium and upper prestige segments. This is reflected through the increased share of P&A from 66.2% in FY12 to 81.0% in FY23 in the company's net sales. In recent times, the company has introduced several innovative brands such as Johnny Walker Blonde, Godawan 100, Don Juan tequila, Royal Challenge American Pride and has renovated brands like Antiquity and Black Dog, in –line with its premiumization strategy. We expect the innovation and premiumization to drive revenue growth for the company, going forward. The company sold off 32 brands under the Popular category via a slump sale in 2022, following its premiumization strategy.

On the margin front, while the prices of certain commodities and glass bottles have stabilized over the last few quarters, ENA prices continue to remain elevated. However, the company has returned more than 16% EBITDA margins over the last few quarters with improved price mix and various cost interventions. In the medium-term long term, the focus remains on double-digit revenue growth with slightly higher EBITDA growth.

We think the base case fair value of the stock is Rs 1319 (60.0x FY26E EPS) and the bull case fair value is Rs 1386 (63.0x FY26E EPS). Investors can buy the stock in Rs 1190-1210 band (54.5x FY26E EPS) and add more on dips in Rs 1060-1080 (48.5x FY26E EPS) band.

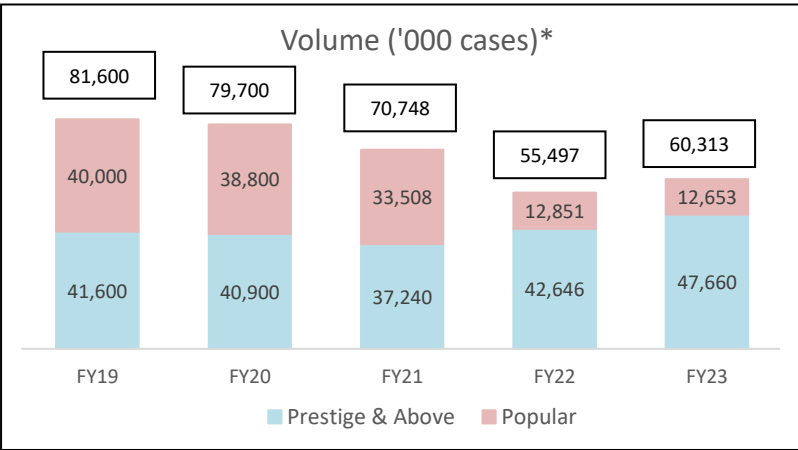
Financial Summary

Particulars (Rs cr)	Q3FY24	Q3FY23	YoY (%)	Q2FY24	QoQ (%)	FY23	FY24E	FY25E	FY26E
Operating Income	2989	2781	7%	2865	4%	10374	10653	11985	13187
EBITDA	491	368	34%	470	5%	1419	1715	2038	2308
APAT	348	111	215%	341	2%	1052	1138	1398	1600
Diluted EPS (Rs)	4.8	1.5	215%	4.7	2%	14.5	15.6	19.2	22.0
RoE (%)						19.4	17.5	18.0	17.2
P/E (x)						83	77	63	55
EV/EBITDA (x)						62	50	42	37

(Source: Company, HDFC sec)

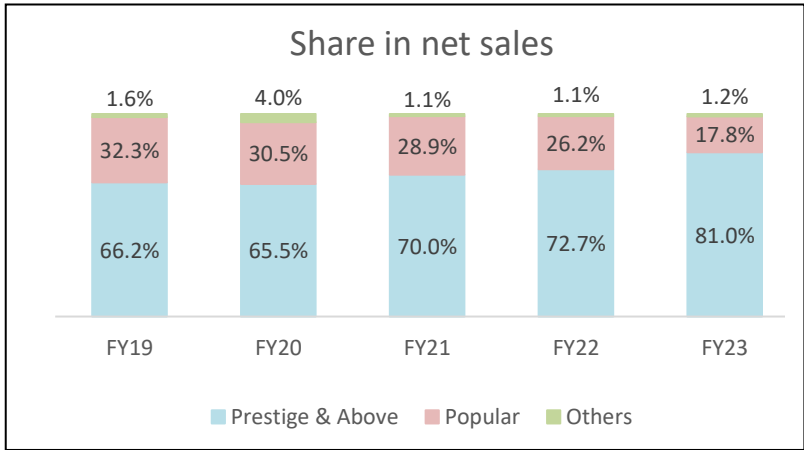
Charts in Focus

Rising volumes post COVID and slump sale of Popular brands

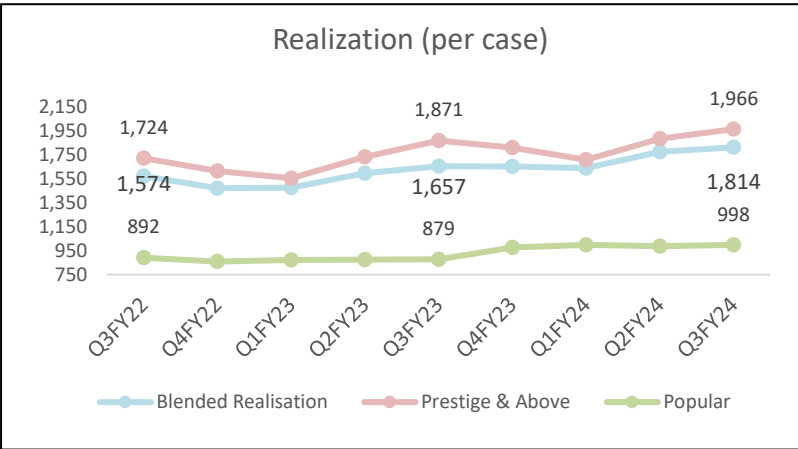


*FY22 and FY23 numbers are after slump sale of 32 brands in the Popular segment

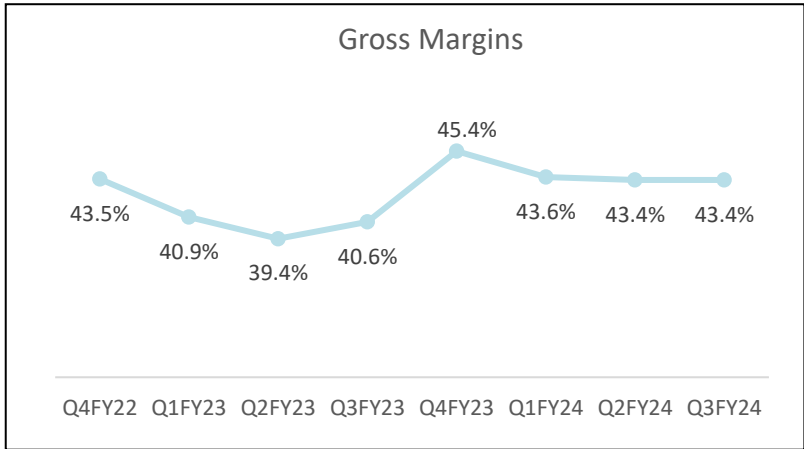
Increasing share of Prestige & Above in net sales



Increasing realizations in-line with premiumization strategy



Steady margins despite volatility in raw material prices



(Source: Company, HDFC sec)

Q3FY24 Result Update

UNSP reported 7.0% YoY growth in Net Sales Value (NSV) in Q3FY24 on the back of resilient premiumization trend, despite the sequential demand environment being muted in the last few quarters. Overall, sales volume during the quarter stood at 16.48 million cases, down 1.8% YoY, primarily due to a 22.8% decline in Popular volumes. However, a positive price/mix of 9.3% during the quarter resulted in 7.5% growth in NSV despite overall volume decline.

Prestige and Above: Prestige and above volumes continued to remain robust at 13.42 million cases in Q3FY24 as compared to 12.8 million cases in Q3FY23, in-line with the continuing premiumization trend across all liquor categories within the country. The upper premium and luxury categories within the segment continue to do well whereas some weakness was seen in the lower-mid prestige categories.

Popular: The segment reported a decline of 12.4% in NSV on the back of 22.8% decline in volumes due to muted demand and increase in duties in certain states. The popular segment demand has been adversely impacted as consumers have started preferring higher priced out-of-home experiential drinking over off-trade and drinking at home post the COVID-19 pandemic.

Overall, despite the quarter being a seasonally strong with festivities, wedding season and the cricket world cup all bunched up, the demand environment continued to remain subdued. However, given the company brand resilience and premiumization advantage, the company witnessed double-digit sales growth despite a challenging demand environment.

The company's Gross Margins improved 286 bps YoY and were flattish QoQ as most of the commodity prices except Extra neutral alcohol (ENA) remained stable. ENA prices continue to remain elevated and are expected to stay at current levels in the upcoming quarters as well, limiting scope for further margin expansion. The quarter also witnessed higher advertisement and promotional spends (11% of NSV) as compared to the same quarter previous year (10% of NSV) in order to improve the traction for its repackaged products and new launches across different states. UNSP has front loaded some of the ad-spends for the upcoming IPL season in Q4FY24 due to the impending general elections in the country in Q1FY25. EBITDA margin for the company rose 321 bps, primarily due to better operating leverage and lower employee expenses to 16.4% in Q3FY24 as compared to 13.2% in Q3FY23. The management expects to sustain EBITDA margins slightly above its target of 15%, going forward. PAT for the company improved by 215% YoY (2% QoQ) to Rs 348 cr. but Q3FY23 was impacted by an exception loss of around Rs 151 cr.

During the quarter, the company's IMFL and upper Prestige categories continued to make steady progress with a strong performance by Royal Challenge American Pride, which continues to be the company's fastest-growing innovation. The company expanded the brand to 3 new markets viz. Himachal Pradesh, Arunachal Pradesh and Uttarakhand. The renovated bundle of Antiquity Blue also witnessed positive traction in launched markets.

UNSP also launched 'Yaaron Wali Baat' campaign for McDowell's Soda with its new brand ambassador, Kartik Aaryan, who resonates with the millennial youth with his recent success in Bollywood. During the quarter, the company also launched its Don Julio tequila in Mumbai and Gurgaon. The company remains positive on the potential of the product in the country, given the initial positive traction received by it.

Investment Rationale

Rich and diverse portfolio across different price points remains the strongest pillar of growth

UNSP is one of the largest alcobev companies in India, boasting a comprehensive product portfolio of over 63 brands across Scotch, whisky, IMFL whisky, brandy, rum, vodka and gin. 8 of these brands sell more than a million cases annually. Backed by global giant Diageo, UNSP has curated a portfolio of old and new, large and small, global and local brands that are well recognized and loved across the depth and breadth of the country. UNSP’s product portfolio comprises of iconic global brands built over centuries, instantly recognizable local brands which have been leaders in the Indian market and innovative new brands that have won multiple awards and recognition.

UNSP has a presence across different price points across Luxury, Premium, Prestige and Popular segments. While Johnny Walker, Godawan, Singleton, Epitome Reserve and Tanqueray are marquee brands in the affluent segment, the middle/main stream segment includes brands like Antiquity, Signature, Black and White and Black Dog, among others. Royal Challenge and McDowell’s No. 1 are the most renowned brands in the Popular category. The company also imports, manufactures, distributes, and sells various iconic Diageo brands such as Haig Gold Label, Captain Morgan, Johnnie Walker, J&B, Baileys, Lagavulin, Talisker, VAT 69, Black & White, Smirnoff and Ciroc in India under different licensing agreements.

Well curated brand portfolio across a variety of price points

Bouquet of popular local and international brands

Category	Marquee Brands	Indicative Sales Price (Rs)	5-yr CAGR
Luxury	Johnny Walker, Tanqueray, Baileys	>2000	35%
Premium	Vat 69, Black and White, Black Dog, Smirnoff	800-2000	15%
Prestige	McDowell's, Royal Challenge, Signature	400-800	5%
Popular	DSP Black, McDowell's No. 1	<400	-2%



World's Largest Whisky
India's Most Valuable Whisky Brand



Top 3 India Whisky brands



#1 brand equity



#1 brand equity in Scotch



#1 India Scotch brand equity



Fastest growing recruitment Scotch Brand

(Source: Company, HDFC sec)

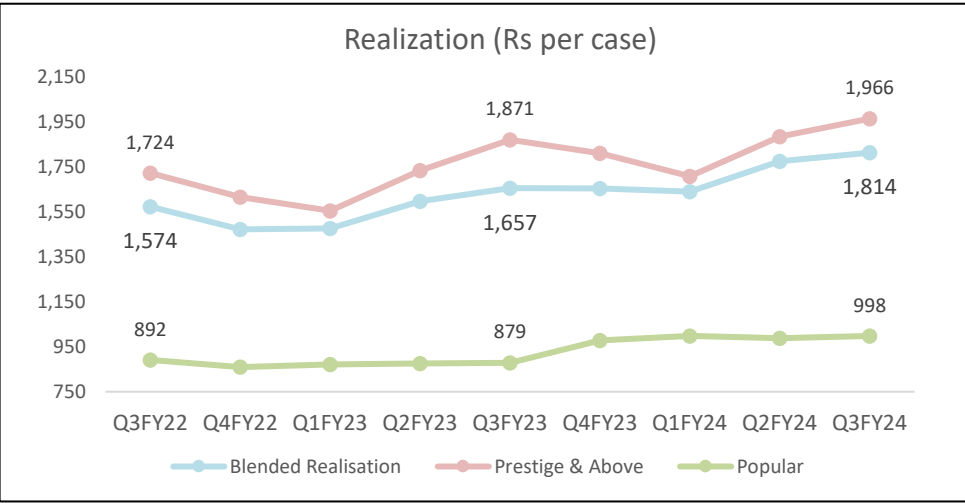
A pivot towards premiumization at the right time to aid double-digit revenue growth

In September 2022, UNSP completed the slump sale of its entire business undertaking associated with 32 brands in the ‘Popular’ segment to Inbrew Beverages Private Limited and gave effect to the franchise of 11 other brands in the ‘Popular’ segment in favour of Inbrew for a period of five years, thereby focusing primarily on it’s the premiumization through its Prestige and Above segment. Coinciding with the increasing demand for premium liquor, driven by rising disposable income, higher demand for quality products by new consumers and increasing traction of out-of-home experiential drinking has helped the company benefit from increased focus on its Prestige and above segment.

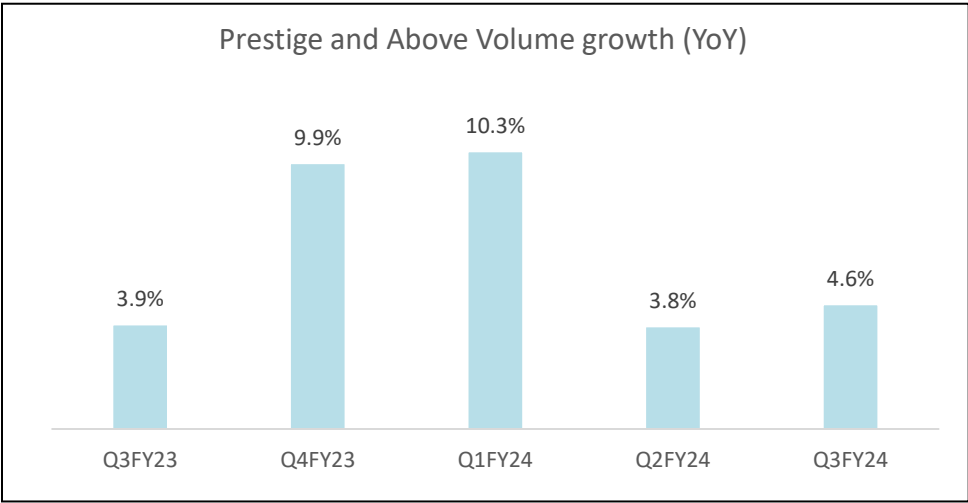
The company’s new launches like Godawan, innovation in existing products like Johnny Walker Blonde and renovations in Royal Challenge, Signature and Antiquity have all been steps taken by the company in this direction. Consequently, the share of Prestige and Above in UNSP’s revenue has increased from 66.2% in FY19 to 81.0% in FY23 and continues to be the key revenue driver both in terms of volumes as well as net sales. The Prestige and Above sales have grown at a CAGR of 9.1% between FY16-23. Within the Prestige and Above, the luxury segment has growth at a 35% CAGR followed by the premium category growth of 15% CAGR over the last few years.

The company has also optimized its spends across marketing channels with particular focus on increasing the percentage of spend on upper- and mid-funnel channels, in-line with its premiumization strategy. UNSP recently launched Godawan, India’s first artisan single malt whiskey was named World’s Best Single Malt whiskey, clinching the top spot in the single malt whiskey category at the 2024 London Spirits Competition. UNSP’s other recent launch, its new American Bourbon based IMFL whiskey Royal Challenge American Pride in the Upper prestige segment has been one of its fastest growing innovation. This overall revamp of the company’s product portfolio has led to resilient double-digit volume growth despite demand headwinds in the industry.

Prestige and above driving higher realizations



Premiumization and innovation to pave the way for future growth



(Source: Company, HDFC sec)

Growing Indian alcohol consumption, dominated by Indian Made Foreign Liquor (IMFL) and Indian Made Indian Liquor (IMIL)

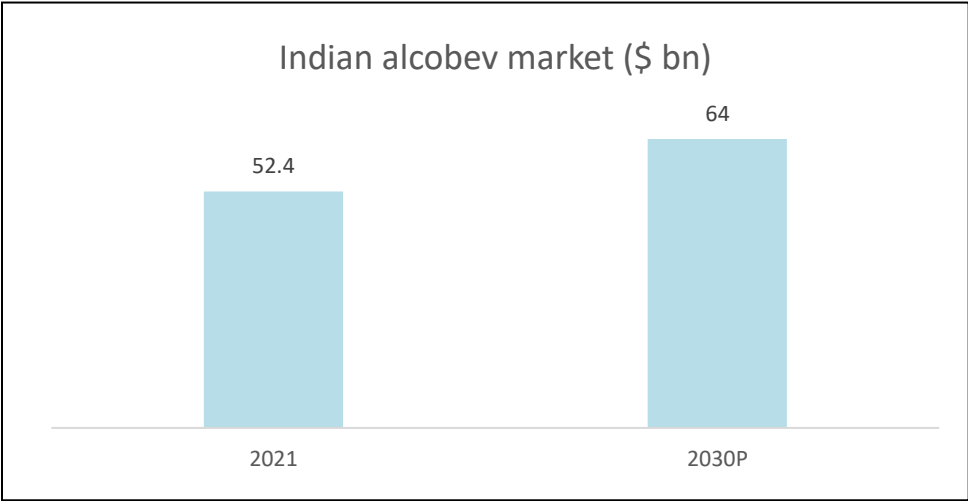
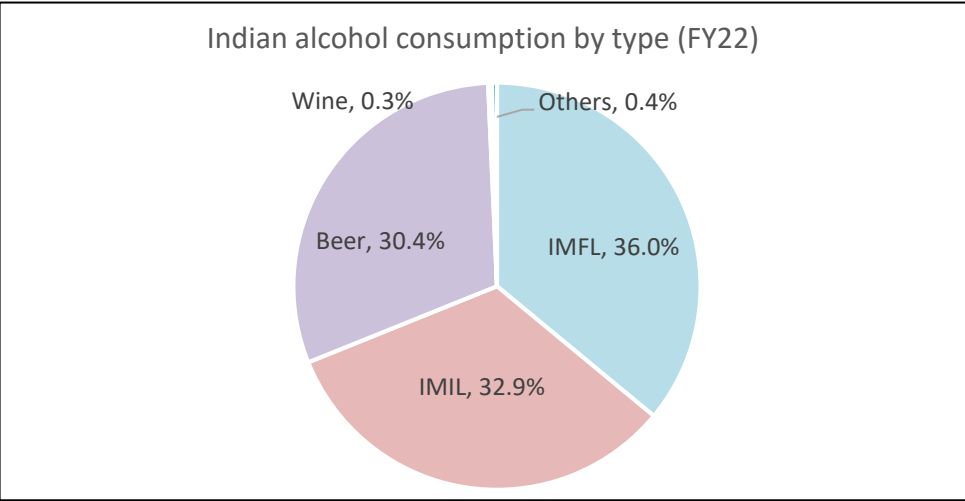
IMFL and IMIL together contribute more than 69% of India’s alcohol consumption with beer being the other major segment. Whiskey dominates the Indian spirits industry by a very wide margin. The alcobev industry in India is expected to grow from around \$52 bn in 2021 to \$64 bn in 2030. While beer consumption has also been increasing in recent times, whisky is expected to continue its domination in the Indian alcobev market, going forward. UNSP is well placed with its suite of brands across different spirits and pan-India network to take advantage of the growing opportunities in the sector.

In terms of geographic distribution, the states of Karnataka, Maharashtra, West Bengal, Odisha, Telangana, Delhi, Haryana, Punjab etc. are amongst the largest consuming states for Alcobev in India. With increasing social acceptance, especially among the youth, other states like Rajasthan, Uttar Pradesh and Madhya Pradesh are also expected to grow at a fast clip. The most popular channel of Alcobev sale in India is liquor stores as its consumption is primarily an outdoor activity and supermarkets and malls are present only in the tier I and tier II cities of India. As digitization within the country increases, the order to home sales are also expected to grow in the future.

Overall, the outlook for the Indian alcoholic beverages continues to remain positive led by favorable demographics, expanding middle class, rising disposable income levels, greater preference for premium food and drink experiences and greater acceptance of alcoholic beverages in social circles.

IMFL and IMIL together constitute ~69% of Indian alcohol consumption

Multiple tailwinds to drive robust growth in the Indian alcobev market



(Source: Company, HDFC sec)

Resilient margins in face of headwinds

The company has been able to sustain its EBITDA margins in mid-teens despite inflationary headwinds in key raw materials like Extra Neutral Alcohol (ENA) and glass. ENA is the primary alcoholic raw material used in producing alcoholic spirits, especially IMFL. Around 45% of ethanol is used in the manufacture of liquor, 40% is used for alcohol-based chemicals, and the remaining 15% is used for blending with petrol. The government's recent pro-ethanol blending policy and changes to the sugarcane MSP under the ethanol blending programme has led to increased use of ethanol for blending and hence higher ENA inflation. The company has taken various cost interventions and revenue management initiatives to tackle ENA inflation, which has resulted in 16%+ EBITDA margin in 9MFY24. The management has maintained its guidance of more than 15% EBITDA margins, going forward.

Building an experiential brand experience through intelligent marketing

Over the years, the company has focused on consciously building its brand image across the variety of product offerings through well curated marketing efforts be its brand associations, advertisements or signing of youth icons as brands ambassadors. The company has a high single digit topline re-investment rate in advertisement and sales promotion (A&SP). The company has on several occasions reiterated its plans for continued investment in A&SP spends to drive consumer engagement and long term brand value creation.

Risks & Concerns:

Changes in regulatory environment

India lacks a uniform alcohol policy across the country and the regulations and taxes on alcohol are levied by each state individually. This regulatory disparity poses a significant challenge and delay in market penetration as the companies cope up with the ever changing regulatory environment in different states.

Restriction in interstate exports

Due to restrictions in inter-state exports of alcohol, companies are required to set up local supply chains in each state to gain penetration in the particular state. This poses additional challenge for the company as it tries to increase its footprint in more and more states within the country.

Pricing challenges

Pricing continues to remain a challenge for the category since with continuous increase in excise duties, end consumer prices continue to experience upsurge with no benefit to the company.

Political Risk

There is an increased tendency towards prohibition in an election year. Another concern emerges from the dependence on state governments to get price increases. Margins may get severely impacted in case of inflation in raw material costs or any increase in cost due to change in regulations.

Distribution Concerns

Significant changes in route to market strategies by various state governments pose a concern on establishing distribution network with new intermediaries. This also poses credit risk in case the existing distributors default due to the closure of their respective businesses.

Volatility in raw material prices

While the bottle raw material prices have softened over the last couple of quarters, ENA prices continue to remain elevated which may impact the company’s margin improvement trajectory, going forward.

Peer comparison

Company	Mcap (Rs cr)	Revenue				EBITDA Margin				PAT				RoE				P/E			
		FY23	FY24E	FY25E	FY26E	FY23	FY24E	FY25E	FY26E	FY23	FY24E	FY25E	FY26E	FY23	FY24E	FY25E	FY26E	FY23	FY24E	FY25E	FY26E
United Spirits	87645	10374	10652	11984	13186	13.7	16.1	17.0	17.5	924	1138	1398	1600	16.6	17.3	17.8	17.1	94.4	76.6	62.4	54.5
United Breweries	54085	7500	8092	9033	10225	8.2	9.9	11.3	13.3	305	486	657	913	7.7	11.9	15.1	19.3	177.9	111.4	82.3	59.2
Radico Khaitan	23102	3143	4242	4898	5347	11.4	12.7	14.3	15.5	204	283	395	479	8.5	10.4	12.7	14.8	113.8	81.6	58.6	48.3

(Source: HDFC sec, Bloomberg)

Company Background

United Spirits Ltd (UNSP) is one of the largest alco-beverage companies in India and is a subsidiary of global leader Diageo Plc. The company manufactures, sells and distributes beverage alcohol across its comprehensive brand portfolio of more than 63 brands of Scotch Whisky, IMFL Whisky, brandy, rum, vodka and gin. 8 of the brands sell more than a million cases annually. Some of the marquee brands of the company include McDowell's No.1, Royal Challenge, Royal Challenge American Pride, Signature, Antiquity, Black Dog, Director's Special Black, McDowell's Rum & McDowell's Brandy. Additionally, it also imports, manufactures, distributes, and sells various iconic Diageo brands such as Haig Gold Label, Captain Morgan, Johnnie Walker, J&B, Baileys, Lagavulin, Talisker, VAT 69, Black & White, Smirnoff and Ciroc in India under different licensing agreements. The company categorizes its products under Popular and Prestige & Above (P&A) segments based on the varied price points. The share of P&A has increased from 66.2% in FY19 to 81.0% in FY23, in-line with the company's premiumization strategy.

UNSP is a subsidiary of the global leader Diageo Plc., which holds around 55.9% stake in the company. The company is headquartered in Bengaluru and has a wide footprint, supported by a team of over 3000 employees, 37 manufacturing facilities across states and union territories in India, a strong distribution network and a state-of-the-art Technical Centre. The company also holds perpetual right to the Royal Challengers Bangalore (RCB) cricket franchise of Indian Premier League (IPL) and has also acquired franchise rights for the Women's Premier League (WPL) in January 2023. UNSP generated Rs 309 cr in brand agreements and franchising revenue from these two teams in FY23.

UNSP's Comprehensive Product Portfolio



Financials

Income Statement

Particulars (in Rs Cr)	FY22	FY23	FY24E	FY25E	FY26E
Net Revenues	9424	10374	10653	11985	13187
Growth (%)	19.5	10.1	2.7	12.5	10.0
Operating Expenses	7913	8955	8938	9948	10879
EBITDA	1510	1419	1715	2038	2308
Growth (%)	52.9	-6.1	20.9	18.8	13.3
EBITDA Margin (%)	16.0	13.7	16.1	17.0	17.5
Depreciation	289	271	258	275	290
Other Income	34	74	138	151	166
EBIT	1256	1222	1595	1914	2184
Interest expenses	88	104	78	50	46
PBT	1012	1289	1518	1864	2138
Tax	161	238	379	466	538
PAT	851	1052	1138	1398	1600
Share of Asso./Minority Int.	0	0	0	0	0
Adj. PAT	851	1052	1138	1398	1600
Growth (%)	174.2	23.6	8.2	22.8	14.4
EPS	11.7	14.5	15.6	19.2	22.0

Balance Sheet

Particulars (in Rs Cr) - As at March	FY22	FY23	FY24E	FY25E	FY26E
SOURCE OF FUNDS					
Share Capital	146	146	146	146	146
Reserves	4747	5799	6937	8335	9935
Shareholders' Funds	4892	5945	7083	8481	10080
Minority Interest	0	0	0	0	0
Total Debt	605	183	183	183	183
Other Non-Curr. Liab	15	12	39	26	31
Net Deferred Taxes	0	0	0	0	0
Total Sources of Funds	5513	6140	7305	8690	10295
APPLICATION OF FUNDS					
Net Block & Goodwill	1495	1198	1241	1266	1326
CWIP	88	67	67	67	67
Investments	439	487	487	487	487
Other Non-Curr. Assets	1734	1854	1904	2142	2357
Total Non Current Assets	3755	3606	3698	3962	4236
Inventories	2164	2230	2290	2576	2835
Debtors	2302	2383	2447	2753	3029
Cash & Equivalents	27	81	972	1538	2345
Other Current Assets	474	1271	1305	1469	1616
Total Current Assets	4968	5965	7015	8336	9824
Creditors	1528	1738	876	919	939
Other Current Liab & Provisions	1682	1693	2532	2688	2826
Total Current Liabilities	3210	3431	3408	3608	3766
Net Current Assets	1758	2534	3607	4729	6059
Total Application of Funds	5513	6140	7305	8690	10295

Cash Flow Statement

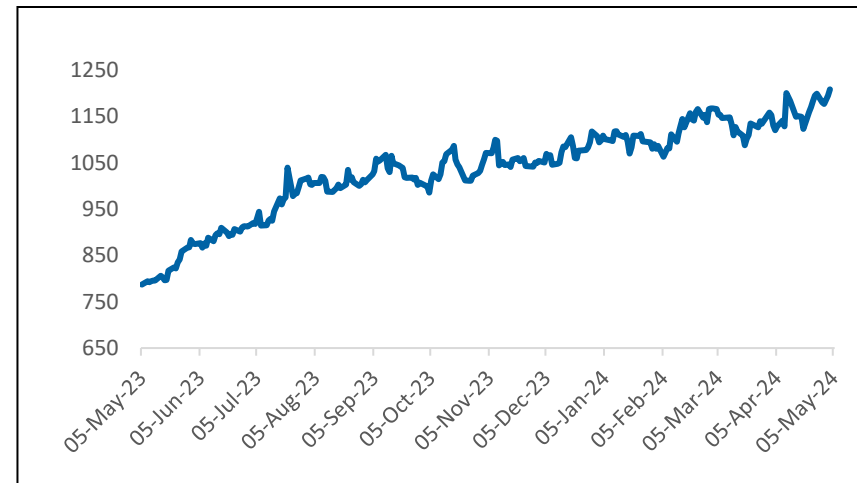
Particulars (in Rs Cr)	FY22	FY23	FY24E	FY25E	FY26E
Reported PBT	1,012	1,289	1,518	1,864	2,138
Non-operating & EO items	152	-215	-29	-251	-211
Interest Expenses	88	104	78	50	46
Depreciation	289	271	258	275	290
Working Capital Change	-171	-576	-176	-556	-522
Tax Paid	-458	-297	-379	-466	-538
OPERATING CASH FLOW (a)	911	577	1,268	916	1,203
Capex	-96	-113	-300	-300	-350
Free Cash Flow	815	463	968	616	853
Investments	-237	-809	0	0	0
Non-operating income	88	901	0	0	0
INVESTING CASH FLOW (b)	-246	-21	-300	-300	-350
Debt Issuance / (Repaid)	-638	-465	0	0	0
Interest Expenses	-50	-36	-78	-50	-46
FCFE	-22	54	891	566	806
Share Capital Issuance	0	0	0	0	0
Dividend	0	0	0	0	0
Others	0	0	0	0	0
FINANCING CASH FLOW (c)	-688	-501	-78	-50	-46
NET CASH FLOW (a+b+c)	-22	54	891	566	806

Key Ratios

Particulars	FY22	FY23	FY24E	FY25E	FY26E
Profitability Ratios (%)					
EBITDA Margin	16.0	13.7	16.1	17.0	17.5
EBIT Margin	13.3	11.8	15.0	16.0	16.6
APAT Margin	9.0	10.1	10.7	11.7	12.1
RoE	18.9	19.4	17.5	18.0	17.2
RoCE	24.3	21.0	23.8	24.0	23.1
Solvency Ratio (x)					
Net Debt/EBITDA	0.4	0.1	-0.5	-0.7	-0.9
Net D/E	0.1	0.0	-0.1	-0.2	-0.2
PER SHARE DATA (Rs)					
EPS	11.7	14.5	15.6	19.2	22.0
CEPS	15.7	18.2	19.2	23.0	26.0
BV	67.3	81.7	97.4	116.6	138.6
Dividend	0.0	0.0	0.0	0.0	0.0
Turnover Ratios (days)					
Debtor days	86	82	83	79	80
Inventory days	80	77	77	74	75
Creditors days	56	57	45	27	26
Valuation (X)					
P/E	103	83	77	63	55
P/BV	18	15	12	10	9
EV/EBITDA	58	62	50	42	37
EV / Revenues	9	8	8	7	6

(Source: Company, HDFC sec)

Price chart



HDFC Sec Retail Research Rating description

Green Rating stocks

This rating is given to stocks that represent large and established business having track record of decades and good reputation in the industry. They are industry leaders or have significant market share. They have multiple streams of cash flows and/or strong balance sheet to withstand downturn in economic cycle. These stocks offer moderate returns and at the same time are unlikely to suffer severe drawdown in their stock prices. These stocks can be kept as a part of long term portfolio holding, if so desired. These stocks offer low risk and lower reward and are suitable for beginners. They offer stability to the portfolio.

Yellow Rating stocks

This rating is given to stocks that have strong balance sheet and are from relatively stable industries which are likely to remain relevant for long time and unlikely to be affected much by economic or technological disruptions. These stocks have emerged stronger over time but are yet to reach the level of green rating stocks. They offer medium risk, medium return opportunities. Some of these have the potential to attain green rating over time.

Red Rating stocks

This rating is given to emerging companies which are riskier than their established peers. Their share price tends to be volatile though they offer high growth potential. They are susceptible to severe downturn in their industry or in overall economy. Management of these companies need to prove their mettle in handling cyclicity of their business. If they are successful in navigating challenges, the market rewards their shareholders with handsome gains; otherwise their stock prices can take a severe beating. Overall these stocks offer high risk high return opportunities.

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